BUILD YOUR SKILLS: INTEREST

Go to www.investor.gov/financial-tools-calculators/calculators/compound-interest-calculator and use the compound interest calculator to complete these exercises. The answers to the questions can be found in the back of the book.

1. If you start with an initial investment of $5,000 and contribute an additional $100 every month with an estimated interest rate of 3%, how much money would you have after five years? Assume the interest would be compounded annually.
2. Let's say you are eighteen years old and have a goal of saving $10,000 by the time you are twenty-two. You have found an account that offers a 3% interest rate. You start with an initial investment of $4,000 and plan to deposit $100 every month for those four years. Will you meet your $10,000 goal by the time you are twenty-two?
3. When you graduate high school, your strange but wealthy uncle gives you $3,000. You decide to invest that money, and it is going to grow at a rate of anywhere between 3% and 7%. To see the range of interest rates, you need to enter "5" for the estimated interest rate, and you need to enter "2" for the interest rate variance range. If you do not add any additional money to that account and just let the $3,000 accrue interest, how much money would you have after 10 years with a 3% return? 5%? 7%?
4. For this last question, use a regular calculator instead of the interest calculator. If you borrow $6,000 to pay for a car with an APR of 8%, how much interest accrues (grows) in the first month?